

Treasure Management

BBA — 8th Semester — 2019 — Answer Sheet
Subject Code: BNK207

Note: This answer sheet is currently a template. Detailed answers will be added progressively. Students are encouraged to refer to textbooks and class notes.

Section A

1. The main focus of the treasury is on the financial assets and liabilities for an organization.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

2. The dealers and traders constitute the back office.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

3. The interest on term deposits is very low.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

4. Investment, development, administrative expenses, profit distribution etc. are the uses of fund management.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

5. Counterparty risk comes from non-performance of a trading partner.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

6. Core deposit is an unstable base of fund that is highly sensitive to movements in market interest rates.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

7. In the case of negative mismatch, the maturity of asset comes earlier than the maturity of liabilities.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

8. The larger the value of the duration, the less sensitive is the price of that asset or liability to changes in interest rates.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

9. Derivatives are a category of financial instruments.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

10. The Treasury bill discount rate is quoted in terms of a 365-day year.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

Section B

Short Answer Questions: [6 × 5 = 30]

11. What is treasury management? Explain its function.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

12. Explain, in brief, the internal and external sources of funds.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

13. Describe different types of credit products of banks.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

14. What is an option? Explain the types and characteristics of options.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

15. Explain money market instruments that the treasury may include in its investment portfolio.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

16. What are the rights, duties, and functions of Nepal Kastr Bank?

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

Section C

Comprehensive Answer Questions: [2 × 10 = 20]

17. The treasury department ensures that a company has sufficient cash available at all times to meet the needs of its primary business operations. In the light of this statement, explain the role of treasury department in a company.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

18. Risk is an event that may cause damage to an institution's income and reputations. Explain different types of financial risk and non-financial risk of a company.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

These answer sheets are prepared for educational purposes. Students are encouraged to verify with official textbooks and course materials.